



the leader in the software sector and a favourite of all the investors. It is a very good company and had been growing at over 100 per cent at that time. The stock price shot up from around Rs. 2,000 (Rs. 10 paid up) in January 1999 to around Rs. 12,000 (Rs. 5 paid up adjusted for split) in March 2000. Nothing spectacular had happened to the company to justify such a steep increase. But by the end of September 2000, the stock was down to Rs. 7,000. Nothing had gone drastically wrong with the company either since March when it was quoted around Rs. 12,000.

How did this happen? Let's do some arithmetic on the figures of Infosys to understand how the irrational market values the fundamentals. Infosys at its peak price of Rs. 12,800 commanded a market cap of a huge Rs. 85,000 crore. The market justified this on the grounds that the company was growing aggressively at near 100 per cent per annum. In the financial year 2000, Infosys reported revenues of Rs. 882 crore. If we were to compound this figure at 85 per cent annually for 10 years (as some people believed the growth would continue), then in financial year 2010 Infosys would report revenues of a staggering Rs. 414,176 crore. At that time, assuming a market capitalisation of 100 times revenues (similar to what Infosys was quoting at its peak) it would put Infosys' value at USD 9.2 trillion. The GDP of USA was around the same figure! It is surely not possible that Infosys can be worth as much as the entire GDP of the US.

If this cannot happen, two things are possible. One, that Infosys cannot continue to grow at 85 per cent, and second, that it cannot continue to quote at 100 times revenue. While I do not rule out momentum movements, I believe it is quite difficult to gauge the correct timing of entry and exit. So, though Infosys is a great company a lot of people lost fortunes when they speculated on the stock price and bought the stock for capital gains. As against that, all who had bought the stock for cash flow and held on to the stock, irrespective of market fluctuations, are very wealthy even at today's stock prices. This is the power of investing for the long-term in fundamentals.

To sum up, let's take the example of a cattle farm and a dairy farm³. In a cattle farm the asset is the cattle. Cattle are bred and